NOTE S – INCOME TAXES

As of December 31, 2012, we had consolidated income tax net operating loss ("NOL") carryforwards for federal income tax purposes of approximately $133,000,000. The federal NOL carryforward from 1997 of $564,000 expired at the end of 2012. The federal NOL carryforwards from 1998 forward will expire in various years beginning in 2018 and ending through the year 2032. From 2018 through 2022, approximately $7.5 million of the NOL will expire, from 2023 through 2028, approximately $80.5 million of the NOL will expire, and from 2029 through 2032, approximately $45 million of the NOL will expire.

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The components of the provision for income taxes (benefits) are attributable to continuing operations as follows:

	12 Month Period Ended December 31, 2012	12 Month Period Ended December 31, 2011	12 Month Period Ended December 31, 2010
Current			
Federal	$ —	$ —	$ —
State	—	—	—
	$ —	$ —	$ —
Deferred			
Federal	$ —	$ —	$ —
State	—	—	—
	$ —	$ —	$ —

Deferred income taxes reflect the net tax effects of the temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the Company's deferred tax assets and liabilities are as follows:

Deferred tax assets:	
Net operating loss carryforwards	$ 47,918,148
Capital loss carryforward	384,826
Accrued expenses	62,613
Deferred revenue	991,848
Reserve for accounts receivable	2,086,933
Reserve for inventory return	128,569
Stock option and restricted stock awards	1,431,786
Start-up costs	107,053
Excess of book over tax depreciation	1,222,001
Investment – unconsolidated entity	3,694,906
Less: valuation allowance	(57,901,529)
	127,154
Deferred tax liability:	
Prepaid expenses	57,907
Property and equipment basis	69,247
	127,154
Net deferred tax asset	$ —

As reflected above, we have recorded a net deferred tax asset of $0 at December 31, 2012. As required by the Accounting for Income Taxes topic in the ASC, we have evaluated whether it is more likely than not that the deferred tax assets will be realized. Based on the available evidence, we have concluded that it is more likely than not that those assets would not be realizable without the recovery and rights of ownership or salvage rights of high value shipwrecks and thus a valuation allowance has been recorded as of December 31, 2012.

The change in the valuation allowance is as follow:

December 31, 2012	$57,901,529	December 31, 2011	$52,515,797
December 31, 2011	$52,515,797	December 31, 2010	$45,983,926
Change in valuation allowance	$ 5,385,732	Change in valuation allowance	$ 6,531,871

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Income taxes for the twelve month periods ended December 31, 2012, 2011 and 2010 differ from the amounts computed by applying the effective income tax rate of 34.0% to income taxes as a result of the following:

	12 Month Period Ended December 31, 2012	12 Month Period Ended December 31, 2011	12 Month Period Ended December 31, 2010
Expected benefit	$(6,180,388)	$(5,516,605)	$(7,936,643)
Effects of:			
State income taxes net of federal benefits	(181,423)	(205,521)	(190,311)
Nondeductible expenses	17,994	17,657	15,606
Stock options and restricted stock awards	223,720	833,749	627,684
Derivatives	322,848	(1,693,247)	1,367,186
Change in valuation allowance	5,385,732	6,531,871	6,290,911
Change in net operating loss	832,408	3,564	—
Change in capital loss carryover estimate	(374,051)	—	—
Change in rate estimate	(42,925)	23,798	(174,913)
Other, net	(3,914)	4,734	480
Income tax provision (benefit)	$ —	$ —	$ —

During the twelve-month periods ended December 31, 2012 and 2011, we recognized certain tax benefits and (liabilities), prior to any valuation allowances, related to stock option plans in the amount of $230,721 and $860,721, respectively. If we did not have a full valuation allowance, such benefits would be recorded as an increase in the deferred tax asset and an increase in additional paid-in capital.

We have not recognized a material adjustment in the liability for unrecognized tax benefits and do not need to record any provision for accrued interest and penalties related to uncertain tax positions.

The earliest tax year still subject to examination by a major taxing jurisdiction is 2009.